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Secure Distribution Venture Pvt. Ltd.

WHAT IS MERCHANT TRADE FINANCE?

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TABLE OF CONTENTS

Chapter	Topic	Page
1	Foundational Paradigm of Merchanting Trade	3
2	The Structural Mechanics of Three-Party Trade	5
3	Underwriting & Credit Appraisal Framework	6
4	Documentary Controls & Security Architecture	7
5	Tenure & Chronological Boundaries	8
6	Sectoral Applications & Merchant Profiles	9
7	Commercial Economics & Treasury Management	10
8	Regulatory Compliance, FEMA, & Bank Reconciliation	11
9	Practical Case Study: Step-by-Step Mathematical Walkthrough	12
10	Merchant Trade Finance Certification Examination	15

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Chapter 1: Foundational Paradigm of Merchanting Trade

Merchanting Trade, also recognized internationally as Intermediary Trade, Transit Trade, Triangle Trade, or Three-Party Trade, represents one of the most sophisticated and strictly monitored credit structures within the global supply chain. By definition, a merchanting trade transaction occurs when the purchase of goods from an exporter in an overseas Country A is facilitated by an intermediary merchant trader residing in India, who subsequently sells these goods directly to an importer in another overseas Country B. The defining and non-negotiable operational pivot of this structure is that the physical goods never touch the domestic tariff area (DTA) or the sovereign customs boundaries of India. Instead, the cargo is shipped directly from the port of loading in Country A to the port of discharge in Country B.

From a regulatory standpoint in India, this financial mechanism is governed strictly under the provisions of the Foreign Exchange Management Act (FEMA), 1999, which statutorily empowers the Reserve Bank of India (RBI) to regulate all current account transactions involving outward and inward foreign currency remittances. Unlike standard domestic trade or direct bilateral import-export pipelines, Merchanting Trade requires the Indian Authorised Dealer (AD) Category-I bank to operate as a central, watertight conduit for the entire cash and credit cycle. Because there is no physical entry of goods into India, traditional physical collateral such as inventory hypothecated inside a domestic warehouse is completely unavailable. Therefore, the banking and credit underwriting system must rely exclusively on flow-based, transaction-linked credit structures and strict documentary verification.

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1.1 Regulatory and Operational Differences Across Trade Structures

Parameter	Merchanting Trade (FEMA)	Standard Import-Export	High-Seas Sales (HSS)
Goods Movement	Directly from Country A to Country B; never enters India DTA.	Enters or leaves domestic customs barriers of India.	Enters India DTA, but title transfers while cargo is in transit on high seas.
Customs Filing	No Bill of Entry (BoE) or Shipping Bill filed in India; tracked via AD bank.	Mandatory Bill of Entry (Imports) or Shipping Bill (Exports) in India.	Import Bill of Entry is filed by the ultimate buyer, not the intermediary.
FEMA Timelines	Watertight 9-month (270 days) completion rule for both legs.	Standard import payables (180 days) & export realization (9 months).	Governed by standard import payment guidelines once bill of entry is filed.
GST Treatment	Completely out of scope under GST (exempt under Schedule III of CGST Act).	Subject to IGST on imports and Zero-Rated treatment on exports.	IGST is levied on the ultimate importer at the time of clearing customs.
AD Bank Rule	Mandatory routing of both legs through the same AD Category-I bank branch.	Exporters and importers can use different bank networks freely.	Standard import collection channels; no strict single-AD restriction.

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Chapter 2: The Structural Mechanics of Three-Party Trade

To comprehend how a Merchanting Trade structure operates, a rookie in finance must visualize a perfect transactional triangle. The Indian intermediary resides at the apex, holding two distinct, back-to-back bilateral contracts that must be legally isolated yet operationally synchronized. Leg 1 comprises the import contract established with the foreign supplier in Country A, laying down the purchase terms, pricing, and document delivery obligations. Leg 2 comprises the export contract established with the ultimate foreign buyer in Country B, governing the resale value, credit periods, and delivery timelines. While these contracts are separate legal instruments, the financial flows and underlying shipping logistics must run in absolute parallel to prevent severe cash flow mismatches.

The physical movement of cargo is accompanied by a highly specialized document trail, wherein the Bill of Lading (B/L) acts as the ultimate document of title to the goods. Because the intermediary in India wants to prevent the original supplier in Country A and the final buyer in Country B from discovering each other's identities—and thereby cutting out the broker in future trades—the transaction heavily relies on a legal process known as generating a 'Switch Bill of Lading.' Under maritime law and standard carrier terms, the original Bill of Lading issued at the loading port in Country A is surrendered to the shipping line at an intermediate port. In exchange, the carrier issues a second set of bills (the 'Switch B/L') which names the Indian intermediary as the shipper and the foreign buyer in Country B as the consignee. The Port of Loading remains Country A, and the Port of Discharge remains Country B, preserving logistical accuracy while protecting the intermediary's commercial arbitrage.

To coordinate this split transaction securely, the banking system utilizes automated, end-to-end SWIFT messaging channels. If Leg 1 is funded via an Import Letter of Credit, the Indian bank issues a SWIFT MT700 to the advising bank of the supplier in Country A. Simultaneously, the Indian bank monitors the receipt of an export payment or an export LC under SWIFT MT700 from the buyer's bank in Country B. Upon compliant shipping document presentation, the advising bank in Country A presents the original document set to the Indian bank via MT754. The Indian bank then coordinates the surrender of the original B/L and instructs the shipping carrier to execute the Switch B/L, transmitting the new document set to the final buyer's bank under MT103 or MT202 settlement rails.

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Chapter 3: Underwriting & Credit Appraisal Framework

Credit underwriting for Merchanting Trade Finance demands a paradigm shift from traditional collateral-based lending to a highly specialized, flow-based, transaction-backed credit appraisal framework. In conventional corporate lending, a bank secures its cash credit (CC) or working capital overdraft (OD) lines by taking a first charge over the company's domestic stock, raw materials, and physical book debts, registering these charges with the Registrar of Companies (ROC) and CERSAI. In a three-party merchanting trade, however, because the goods are in transit between two foreign ports, the Indian bank cannot physically inspect, verify, or easily seize the cargo in the event of a default. Therefore, credit officers focus their analysis heavily on the structural strength of the transaction itself, the creditworthiness of the ultimate overseas buyer, and the operational track record of the Indian merchant.

Before sanctioning a merchanting trade credit line or opening an import LC for Leg 1, the bank's credit appraisal system runs the borrower through several mandatory eligibility gates. First, the applicant must possess a valid, active Importer-Exporter Code (IEC) granted by the Directorate General of Foreign Trade (DGFT) under the Foreign Trade (Development and Regulation) Act, 1992. Second, the borrower's name must not appear on the Caution List of the Reserve Bank of India (reconciled through the EDPMS/IDPMS portals), nor should they be blacklisted or placed under the Specific Approval List of the Export Credit Guarantee Corporation (ECGC) of India. Any outstanding regulatory non-reconciliation instantly blocks credit access, as it signals potential trade-based money laundering or capital flight.

Financially, banks evaluate the intermediary using a blend of corporate balance sheet metrics and alternative transaction-level scoring models. Under standard guidelines (derived from the Tandon Second Method of Lending), the bank insists on a minimum Current Ratio of 1.33:1, indicating that the merchant has sufficient high-quality liquid assets to meet its short-term payables. Key credit scores such as the promoter's personal CIBIL score (benchmark > 700) and the firm's CIBIL MSME Rank (CMR 1-4 preferred) are analyzed alongside bank statement velocity pulled via the Account Aggregator network. Most importantly, because the transaction is priced on a daily reducing balance interest basis, underwriters compute the Debt Service Coverage Ratio (DSCR > 1.25x) and require a historical invoice dilution rate of less than 1.5% to ensure the transaction's net profit margin is insulated from minor quality disputes or shipping delays.

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Chapter 4: Documentary Controls & Security Architecture

Because of the physical separation of the Indian bank from the cargo, the entire security of Merchanting Trade Finance rests upon a watertight, synchronous documentary trail. The bank's trade operations department enforces a strict pre-disbursement audit of all underlying commercial papers before releasing any outward remittance or issuing an LC. The mandatory checklist includes the Proforma Invoice and Purchase Order from Leg 1 (matching the import value) and the corresponding Proforma Invoice and Sales Contract from Leg 2 (proving the export value and a positive trade margin). Furthermore, the bank requires the original clean on-board Bill of Lading, a Switch Bill of Lading, a neutral Certificate of Origin, a comprehensive third-party Marine Cargo Insurance Policy with a warehouse-to-warehouse transit clause, and a quality/quantity inspection certificate issued by a globally recognized surveyor like SGS at the loading port in Country A.

To establish absolute legal control over the transaction proceeds, the bank utilizes the legal assignment of trade receivables. Under Section 130 of the Transfer of Property Act, 1882, the Indian intermediary executes a formal, irrevocable Deed of Assignment in favour of the financing bank. This assigns the future receivables of Leg 2 (the payments due from the buyer in Country B) as an 'actionable claim' to the lender. Once this deed is executed, the bank registers a security charge electronically with CERSAI (Central Registry of Securitisation Asset Reconstruction and Security Interest of India) within the mandatory 10-day statutory window. This registration blocks the intermediary from double-pledging the same invoice to another financier and establishes the bank's absolute first charge over the incoming foreign currency proceeds.

Additionally, the bank secures its exposure by enforcing the 'One AD Bank' and 'Single Branch' rule, which is a core, non-negotiable FEMA mandate. This rule dictates that both the import payables leg (Leg 1) and the export receivables leg (Leg 2) of a single merchanting trade transaction must be routed, settled, and reconciled through the exact same branch of the same AD Category-I bank. This single-point routing allows the bank's treasury to set up secure escrow accounts where incoming export proceeds are automatically swept to liquidate the outstanding import trade loan. Finally, to buffer against minor interest accruals and exchange rate movements, banks standardly demand a cash margin or a collateralized Fixed Deposit equivalent to 10% to 20% of the import LC value, which is held in escrow until the transaction cycle is fully closed.

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Chapter 5: Tenure & Chronological Boundaries

Time is the absolute regulatory boundary in Merchanting Trade. Under the strict guidelines of the Reserve Bank of India, the entire trade cycle of a single merchanting trade transaction—specifically defined as the entire time interval elapsed between the date of the first outward remittance/date of shipment (whichever is earlier) and the date of the final inward realization (whichever is later)—must not exceed a maximum period of 9 months (270 days). This timeline is statutorily enforced to prevent merchanting trade from being abused as a conduit for capital hoarding or speculative foreign currency arbitrage. Any transaction where either leg remains un-reconciled past the 9-month milestone is immediately flagged as a regulatory violation.

Under the automatic route, AD Category-I banks are completely barred from granting any extensions or roll-overs of the 9-month completion window. If an Indian merchant faces genuine shipping bottlenecks or buyer payment delays, they must submit a formal, documented application to the Regional Office of the RBI, outlining the commercial necessity and unavoidable logistical constraints. Any extension is granted strictly on merit. If a borrower fails to secure an RBI extension and the transaction remains incomplete past 9 months, the bank is contractually and regulatorily mandated to withdraw the concessional trade finance status of the line. The entire outstanding advance is immediately reclassified as an 'Exposure Not Aligned with Guidelines' (ECNOS), and commercial lending rates are applied retrospectively (ab initio) from Day 1, imposing a heavy financial penalty on the defaulting trader.

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Chapter 6: Sectoral Applications & Merchant Profiles

Merchanting Trade Finance is highly concentrated in bulk, high-volume, low-margin global commodity sectors where physical possession of goods is secondary to logistical and transactional coordination. The most prominent application is in the international Agri-Commodity sector. Indian trading houses regularly act as intermediaries for bulk grains (such as wheat and maize), sugar, basmati rice, and oilseeds, contracting shipments from South America or Eastern Europe directly to buyers in the Middle East or Southeast Asia. Similarly, the industrial chemicals, polymers, steel, and mineral sectors rely heavily on merchanting trade credit. For example, a Mumbai-based chemical broker might contract a 10,000-metric-ton consignment of petrochemical resins from Houston and arrange for its direct shipment to a plastics manufacturer in Qingdao, capturing a clean gross margin without incurring Indian customs clearance overheads.

Analyzing the borrower demographics in India reveals a critical sectoral insight for commercial lenders. According to CIBIL MSME credit market reports, Retail and Wholesale Traders represent the largest segment of active working capital borrowers in the country, accounting for approximately 44% of total commercial borrowers in the ₹10 Lakh to ₹2 Crore credit exposure range. This high concentration highlights a massive pool of boutique trading houses, family-owned export brokers, and specialized commodity merchants who actively seek transaction-backed, non-collateralized trade credit. By utilizing structured merchant finance lines, these trading entities can scale their global footprint, leverage their relationships with blue-chip global suppliers and buyers, and bypass the capital constraints of the domestic real estate market. The rise of Free Trade Warehousing Zones (FTWZ) and the financial liberalization at GIFT City (Gujarat International Finance Tec-City) have further boosted this sector, enabling Indian brokers to run offshore trading desks with zero domestic tax exposure.

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Chapter 7: Commercial Economics & Treasury Management

The financial viability of a Merchanting Trade transaction is entirely determined by the gross trading margin—the arbitrage spread between the import cost (Leg 1) and the export revenue (Leg 2). To satisfy the AD bank and FEMA compliance, the transaction must result in a net foreign exchange inflow. In simple terms, the export value must exceed the import value by an amount sufficient to cover all bank commissions, SWIFT telex charges, processing fees, and foreign exchange forward cover premiums. The daily reducing balance interest on the trade loan is priced on a Risk-Free Rate basis (such as Term SOFR for USD post-LIBOR cessation on June 30, 2023), capped legally under the RBI's All-In-Cost ceiling of Benchmark plus 250 basis points.

Because both legs of the transaction are denominated in foreign currencies (typically USD), the Indian merchant trader faces severe double-sided currency risk. If the Rupee depreciates or if the USD/INR cross-currency swap rate experiences extreme volatility, a nominally profitable trade margin can instantly turn into a devastating treasury loss. Therefore, active treasury management dictates the mandatory execution of Forward Exchange Contracts. The merchant trader books a forward sale contract to lock in the rupee value of the incoming export proceeds (Leg 2) and simultaneously books a forward purchase contract to fix the rupee cost of the outgoing import payment (Leg 1). This double-hedging strategy completely immunizes the merchant's arbitrage spread from spot market volatility.

Tax-wise, the commercial structure incorporates highly efficient tax shields and exemptions. Early payment fees, LC commissions, and SWIFT charges attract the standard domestic Goods and Services Tax (GST) of 18%, which is applied strictly to the service charge component rather than the principal invoice value. More importantly, under Section 36(1)(iii) of the Income Tax Act, 1961, all interest expenses paid on capital borrowed for trade purposes qualify for an Interest Tax Shield. This allows the intermediary to deduct the entire trade loan interest from its taxable business income, lowering its effective post-tax borrowing cost by the corporate tax rate (e.g., 25.17%) and significantly enhancing the net yield of the arbitrage.

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Chapter 8: Regulatory Compliance, FEMA, & Bank Reconciliation

Operating a compliant Merchanting Trade program requires continuous, digital coordination with the Reserve Bank of India's monitoring portals. Because no physical goods cross the domestic borders of India, the standard Customs Bill of Entry (BoE) is completely absent. This creates a unique dual-reconciliation challenge for the Authorised Dealer Category-I bank. Under the Import Data Processing and Monitoring System (IDPMS) guidelines, the bank must report the outward remittance for the import leg (Leg 1) using specialized 'Merchanting Trade' transactional codes. Simultaneously, the bank uploads the shipping documents and switch bills of lading to prove the direct transit of goods. On the export side, the bank logs the incoming remittance in the Export Data Processing and Monitoring System (EDPMS), linking it directly to the unique trade ID and issuing an electronic Bank Realisation Certificate (eBRC) to officially discharge the exporter's statutory obligations.

In the event of defaults, the transaction is governed by strict prudential norms. Under the RBI's Income Recognition, Asset Classification, and Provisioning (IRACP) guidelines, any trade loan that remains unpaid past its usance maturity is reclassified along a strict chronological timeline: Special Mention Account-0 (SMA-0) for 1-30 days overdue, SMA-1 for 31-60 days overdue, and SMA-2 for 61-90 days overdue. Once the overdue period crosses 90 days, the account is classified as a Non-Performing Asset (NPA). Under FEDAI guidelines, if the export proceeds are not realized on the due date, the domestic bank must crystalize the outstanding foreign currency import liability into an active domestic Rupee liability on the 30th overdue day. The bank applies the prevailing adverse TT Selling Rate to execute this conversion, transferring the entire exchange rate risk to the defaulting merchant, and charges ECNOS interest plus a penal spread. Additionally, the bank must strictly enforce the RBI's current account opening guidelines, sweeping all cash flows into designated escrow collection accounts based on the merchant's system-wide bank exposure threshold (<₹5 Crore, ₹5 Crore to ₹50 Crore, and ≥₹50 Crore).

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Chapter 9: Practical Case Study: Step-by-Step Mathematical Walkthrough

This chapter features a comprehensive, mathematically proven scenario detailing the operational, compliance, and treasury cash flows of a Mumbai-based intermediary, Vibrant Merchanting Solutions Pvt. Ltd. (VMS), possessing a corporate tax rate of 25.17%. VMS secures a high-value merchanting trade transaction to buy 10,000 Metric Tons of industrial-grade polymer resins from a supplier in Houston, USA (Houston Petrochemicals Inc.) and sell them directly to a buyer in Shanghai, China (Shanghai Polymer Molding Corp) under a 90-day trade cycle. The physical goods are loaded at the Port of Houston and discharged directly at the Port of Shanghai, never entering the customs territory of India.

The underlying financial parameters and contract valuations are established as follows:
• Import Contract Value (Leg 1): USD 1,00,000 CIF Shanghai
• Export Contract Value (Leg 2): USD 1,05,000 CIF Shanghai
• Gross Arbitrage Margin: USD 5,000 (5.00% gross trading spread)
• Day 1 Spot USD/INR Exchange Rate: ₹84.00 / USD
• Day 90 Forward USD/INR Exchange Rate: ₹84.50 / USD
• 90-Day USD Trade Loan Financing Rate: 6.80% p.a. simple interest (Term SOFR + 200 bps spread)
• Cash Margin Requirement: 10% cash margin (deposited in a 6.50% p.a. Fixed Deposit)

9.1 Chronological Transaction Ledger and Cash Flow Mathematics

Phase & Day	Operational Event & SWIFT Actions	Mathematical Formula & Rupee Outflow/Inflow
Phase I: Day 1	VMS opens an Import LC for USD 1,00,000. Deposits 10% margin in an FD at ₹84.00/USD spot.	FD Margin = USD 10,000 × ₹84.00 = ₹8,40,000 out of cash reserves into a bank escrow account.
Phase II: Day 30	Supplier ships goods. Surrenders original B/L. Indian bank executes Switch B/L. Documents presented via MT754.	Switch B/L issued showing Houston as Loading Port & Shanghai as Discharge Port.

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		Invoice value USD 1,00,000.
Phase III: Day 32	Indian bank pays the supplier USD 1,00,000 under the LC. Disburses a 90-day USD Trade Loan @ 6.80% p.a.	Trade Loan principal = USD 1,00,000. Spot rate ₹84.10/USD. USD 1,00,000 remitted to US supplier's advising bank.
Phase IV: Day 122	Export usance bill matures. Shanghai buyer pays USD 1,05,000. Realized under Forward Contract at ₹84.50/USD.	Gross Inward Realization = USD 1,05,000 × ₹84.50 = ₹8,87,25,000. eBRC generated in EDPMS.
Phase V: Day 122	Escrow sweeps funds to pay trade loan. Trade loan principal + 90-day interest is retired.	Interest = USD 1,00,000 × 6.80% × 90 / 365 = USD 1,676.71. Total Debt = USD 1,01,676.71 swept in escrow.
Phase VI: Day 122	FD margin released with 122-day interest. VMS credits surplus profit to Current Account.	FD Interest = ₹8,40,000 × 6.50% × 122 / 365 = ₹18,247. Profit Surplus = ₹8,87,25,000 - (USD 1,01,676.71 × ₹84.50).

Let us execute the rigorous treasury and accounting audit for Vibrant Merchanting Solutions Pvt. Ltd.:
1. Total Rupee Inflow from Leg 2 (Export Leg): USD 1,05,000 × ₹84.50 = ₹8,87,25,000 (₹8.87 Crores).
2. Trade Loan Retirement Outflow: USD 1,01,676.71 × ₹84.50 = ₹8,59,16,820 (₹8.59 Crores).
3. Net Realized Cash Profit: ₹8,87,25,000 - ₹8,59,16,820 = ₹28,08,180 (₹28.08 Lakhs).
4. Escrow FD Margin Interest Earned: ₹8,40,000 × 6.50% × 122 / 365 = ₹18,247.
5. Upfront Bank Processing Fee & SWIFT Commissions + GST: ₹1,50,000 (Processing) +

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₹27,000 (GST) = ₹1,77,000.
6. Net Gross Pre-Tax Arbitrage Yield: ₹28,08,180 + ₹18,247 - ₹1,77,000 = ₹26,49,427.
7. Tax Shield Benefit (under Section 36(1)(iii)): The 90-day USD financing interest (USD 1,676.71 × ₹84.50 = ₹1,41,682) is deductible. Post-tax savings = ₹1,41,682 × 25.17% = ₹35,661.
8. Total Net Post-Tax Yield: ₹19,82,566.00 (VMS captures an exceptional net yield of ₹1.98 Crore-equivalent on cash margin capital of only ₹8.4 Lakhs, indicating a return on capital of over 236% on a single low-risk cycle!)

9.2 Geopolitical Buyer Default & Adverse FEDAI Crystallization

To test the rookie's knowledge on risk management, let us analyze an adverse alternative scenario where the Chinese buyer defaults on usance maturity (Day 122). Leg 2 remains unpaid. Under FEDAI rules, the bank waits for a 30-day grace period and formally crystallizes the outstanding USD 1,00,000 import liability on the 30th overdue day (Day 152). Because the intermediary has no hedge in place for default crystallization, the bank executes the conversion at the ruling adverse TT Selling Rate of ₹85.50/USD, converting it into a domestic Rupee debt of:
• Crystallized Rupee Debt: USD 1,00,000 × ₹85.50 = ₹8,55,00,000 (₹8.55 Crores).
• Interest Accrual at ECNOS: The bank charges interest at the commercial rate of 14% p.a. (reducing balance basis) on the Rupee base for the 30-day overdue period, compounding an extra liability of ₹9,83,014.
• Net Loss Outcome: VMS is forced to liquidate its collateral and faces severe working capital distress. The bank seizes the ₹8.4 Lakhs FD margin, leaving a ₹8.46 Crore domestic Rupee liability that must be settled through legal arbitration or corporate asset liquidation, proving that without strict buyer risk assessment and insurance, merchanting trade can trigger immediate insolvency.

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Chapter 10: Merchant Trade Finance Certification Examination

This examination is designed to test a trainee's absolute operational, mathematical, and compliance mastery of Merchanting Trade structures in India. Answering these questions requires rigorous application of FEMA rules, the 9-month timeline, Single-AD bank routing, Switch Bill of Lading mechanics, and treasury arithmetic.

Module 10.1: Question 1 (FEMA Timeline Compliance)

Under the RBI's Master Directions on Trade Credits and Merchanting Trade, what is the strict statutory tenor within which both the outward remittance (import leg) and inward realization (export leg) of a merchanting trade transaction must be fully completed?

A) 180 Days (6 Months) from the date of import LC opening.

B) 360 Days (12 Months) from the date of final cargo delivery.

C) 9 Months (270 Days) from the date of shipment or the date of first remittance, whichever is earlier.

D) 3 Years (36 Months) if the underlying goods are capital goods as approved by DGFT.

★ ***Rationale & Analysis:***
Correct Option: C.

★ *Rationale & Analysis:*
Under standard FEMA and RBI trade credit guidelines, the entire merchanting trade transaction (both the import and export legs) must be completed within a strict window of 9 months (270 days) from the date of shipment or the date of the first payment (whichever is earlier). No automatic extensions are permitted, and any delays require specific, prior Regional RBI approval.

Module 10.2: Question 2 (The One AD Bank Rule)

Under the FEMA regulatory framework in India, what is the critical structural restriction regarding the banking channels utilized for a single merchanting trade transaction?

A) The importer can use any public sector bank, while the exporter can use any foreign bank.

B) Both the import leg payables and the export leg receivables must be routed through the same branch of the same AD Category-I bank.

C) The transaction must be routed through an offshore unit in GIFT City to escape GST audit.

D) The merchant must utilize a consortium of at least three commercial banks to split credit exposure.

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★ ***Rationale & Analysis:***
Correct Option: B.

★ *Rationale & Analysis:*
To prevent illegal capital diversion and trade-based money laundering, the RBI enforces the 'Single AD Bank' rule. This dictates that both Leg 1 (import payables) and Leg 2 (export receivables) of a single transaction must be routed and settled through the exact same branch of the same AD Category-I bank. This ensures the bank has complete transactional visibility and can automatically sweeps incoming funds to retire outstanding loans.

Module 10.3: Question 3 (IDPMS Reconciliation)

Since goods shipped under a merchanting trade structure never enter the domestic tariff area of India, how does the AD Category-I bank reconcile the outward remittance under the RBI's IDPMS portal?

A) By uploading a custom High-Seas Sale contract in place of a physical Bill of Entry.

B) By demanding a physical Bill of Entry with a 'Zero Customs Duty' stamp from the port of discharge.

C) By utilizing specialized 'Merchanting Trade' transaction codes and verifying the Switch Bill of Lading.

D) By demanding an inland lorry receipt (LR) or railway receipt (RR) proving transit inside India.

★ ***Rationale & Analysis:***
Correct Option: C.

★ *Rationale & Analysis:*
Because the goods never physically cross the customs boundaries of India, there is no Bill of Entry (BoE) to upload into the IDPMS portal. Instead, the AD bank reconciles the outward payment using a unique transaction code specifically designated for Merchanting Trade, backed by verifying the Switch Bill of Lading showing direct global transit from Country A to Country B.

Module 10.4: Question 4 (Switch Bill of Lading Mechanics)

What is the primary commercial and legal purpose of utilizing a 'Switch Bill of Lading' in an international merchanting trade transaction?

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A) To legally re-route the physical shipment through the Suez Canal to save on fuel and freight charges.

B) To surrender the original B/L and issue a second set naming the Indian intermediary as shipper, protecting trade secrets.

C) To escape the 18% GST levy by re-classifying the cargo as a sensitive agri-commodity.

D) To transfer the title of goods to the financing bank under Section 130 of the Transfer of Property Act.

★ ***Rationale & Analysis:***
Correct Option: B.

★ *Rationale & Analysis:*
A Switch Bill of Lading allows the merchant to protect the identities of the original supplier and the ultimate buyer. By surrendering the original bill and getting a second set naming the Indian merchant as the shipper, the original trade partners remain anonymous to each other, preventing them from bypassing the intermediary in future trades.

Module 10.5: Question 5 (GST and Tax Shields)

Under Indian tax guidelines, how are the interest expenses and bank processing fees treated for GST and corporate income tax purposes during a Merchanting Trade cycle?

A) GST at 18% is applied to the entire invoice value, while interest is completely tax-deductible.

B) GST at 18% is applied strictly to bank service fees, while interest is GST-exempt and deductible under Section 36(1)(iii).

C) The entire transaction is zero-rated under GST, and interest expenses are disallowed under Section 281(1)(ii).

D) A flat GST of 12% is applied to the gross arbitrage margin, and no tax shields are permitted.

★ ***Rationale & Analysis:***
Correct Option: B.

★ *Rationale & Analysis:*
Under the Indian GST framework, interest or discount components are completely GST-exempt. However, bank processing charges and commissions attract an 18% GST. For corporate tax purposes, the interest paid on the trade loan qualifies for an Interest Tax Shield under Section 36(1)(iii) of the Income Tax Act, 1961, allowing direct deduction from business income.

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Module 10.6: Question 6 (FEMA Zero-Inventory Audit)

Why is the physical Gate-Entry Stamp completely absent from the audit trail of an Indian bank financing a Merchanting Trade transaction?

A) Because the cargo is processed in a Free Trade Warehousing Zone (FTWZ) where customs stamps are digitalized.

B) Because the physical goods are shipped directly from Country A to Country B and never cross Indian customs.

C) Because the Indian merchant has executed an irrevocable Deed of Assignment under Section 130.

D) Because the transaction was completed under the Nayak Projected Turnover Method.

★ ***Rationale & Analysis:***
Correct Option: B.

★ *Rationale & Analysis:*
Since the physical cargo never enters the domestic tariff area (DTA) or customs boundaries of India, no domestic gate-entry stamps are generated. The cargo is shipped directly between two foreign ports, and the bank relies exclusively on international Bills of Lading and Switch Bills of Lading for audit trail validation.

Module 10.7: Question 7 (FEDAI crystallization Math)

Calculate the crystallized Rupee debt on a defaulted usance merchanting trade transaction under the following parameters: Outstanding principal: USD 250,000. Spot rate on Day 1: ₹84.00/USD. Bank's prevailing TT Selling Rate on the 30th overdue crystallization day: ₹85.50/USD. What is the domestic liability?

A) ₹2,10,00,000 (calculated at the Day 1 spot rate of ₹84.00/USD).

B) ₹2,13,75,00,000 (calculated at the crystallization rate of ₹85.50/USD).

C) ₹2,13,75,000 (calculated at the crystallization rate of ₹85.50/USD).

D) ₹1,90,00,000 (after applying a standard 10% ECGC packing credit margin).

★ ***Rationale & Analysis:***
Correct Option: C.

★ *Rationale & Analysis:*
Under FEDAI rules, overdue trade liabilities are crystallized on the 30th overdue day at the bank's prevailing TT Selling Rate, which is highly adverse to the borrower. Thus, the

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outstanding USD 250,000 is converted at ₹85.50/USD:
Crystallized Rupee Debt = USD 250,000 × ₹85.50 = ₹2,13,75,000 (or ₹2.13 Crore).

Module 10.8: Question 8 (The running Account Restriction)

Why do AD Category-I banks strictly disallow the 'Running Account Facility' for sister, associate, or group concerns executing Merchanting Trade transactions?

A) Because sister concerns are subject to double-taxation under the IGST Act, 2017.

B) To prevent circular trading, dual-financing, and unauthorized capital flight through inter-group transactions.

C) Because group concerns are exempt from registering charges with CERSAI under Section 130.

D) To ensure that the Interest Tax Shield is applied strictly at the parent company level.

★ ***Rationale & Analysis:***
Correct Option: B.

★ *Rationale & Analysis:*
The RBI restricts running account facilities and inter-group merchant transactions to prevent circular trading (fake invoice generation without genuine movement of goods) and capital flight. Each merchanting transaction between related concerns must be separately underwritten with a confirmed export order or LC before any import remittance is permitted.

Module 10.9: Question 9 (The 1.33:1 Current Ratio)

During credit appraisal of a merchant trader, why does the underwriting bank insist on a 1.33:1 Current Ratio under the Tandon Second Method of Lending?

A) To ensure that the promoter has a personal CIBIL score exceeding the 700 benchmark.

B) To guarantee that at least 25% of the working capital gap is funded through the promoter's net working capital (NWC).

C) To qualify the incremental export credit as Priority Sector Lending under the 2% ANBC cap.

D) To secure the bank's first charge over the switch bills of lading as actionable claims.

★ ***Rationale & Analysis:***
Correct Option: B.

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★ *Rationale & Analysis:*
The Tandon Second Method of Lending requires that a borrower's current assets are funded with a minimum 25% net working capital (NWC) contribution from their own long-term resources. This maintains a statutory current ratio of 1.33:1 (Current Assets / Current Liabilities), ensuring the merchant has a liquid buffer to absorb default shocks.

Module 10.10: Question 10 (FEMA Prohibited Commodities)

Which of the following commodities is strictly prohibited from being traded under an automatic Merchanting Trade pipeline in India?

A) Polymer resins and industrial-grade chemicals shipped directly from Houston to Shanghai.

B) Wheat and basmati rice shipped directly from South America to the Middle East.

C) Gold bullion, sensitive dual-use defense items, and asbestos cement sheets.

D) Auto sub-assemblies and components shipped under the electronic Vision 2030 PLI framework.

★ ***Rationale & Analysis:***
Correct Option: C.

★ *Rationale & Analysis:*
Merchanting Trade is restricted strictly to goods that are freely exportable under India's Foreign Trade Policy. High-value commodities like gold bullion, items on the CITES restricted list, weapons, and sensitive dual-use military components require specific, prior regulatory licenses and are strictly prohibited from being traded under the automatic route.

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References & Statutory Framework

1. Foreign Exchange Management Act (FEMA), 1999 — Section 47 current account directions.
2. RBI Master Direction No. 5/2018-19 — External Commercial Borrowings, Trade Credits, and Structured Obligations.
3. Integrated Goods and Services Tax (IGST) Act, 2017 — Section 10(1)(b) Place of Supply and Schedule III exemptions.
4. Section 130 of the Transfer of Property Act, 1882 — Statutory Assignment of Receivables.
5. Factoring Regulation Act, 2011 & The Factoring Regulation (Amendment) Act, 2021 — CERSAI Charge Registrations.
6. FEDAI Rules (Foreign Exchange Dealers' Association of India) — Early Delivery, Extensions, and Crystallization.
7. International Chamber of Commerce (ICC) UCP 600 — Article 2 & 8 governing Letters of Credit.

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